

# Drugs Act, 1978

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Drug Act, 2035

Royal Seal and Date of Publication

2034.7.8

Amending Acts

1. Drug (First Amendment) Act, 2035 2035.7.10
2. Drug (Second Amendment) Act, 2057 2057.8.14

Ratification and Publication Date

3. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.1.17
4. Some Nepal Laws Amendment, Consolidation, Adjustment and Repeal Act, 2074 2074.6.30
5. Some Nepal Acts Amendment to Make Compatible with the Constitution of Nepal Act, 2075 2075.11.19
6. Drug (Third Amendment) Act, 2079 2079.03.31
7. Some Nepal Acts Amendment Act, 2082 2082.04.14

Act No. 21 of the year 2035

An Act Made to Provide for Matters Relating to Drugs

Preamble: Whereas it is desirable to prevent the improper use or misuse of drugs or drug intermediates, to prevent false or misleading publicity regarding their utility and use, and to control the production, sale-distribution, export-import, storage and consumption of drugs that are not safe for the public, free from side effects and of quality;

Therefore, this Act is enacted by His Majesty King Birendra Bir Bikram Shah Dev, with the advice and consent of the National Panchayat. Chapter-1

Preliminary

1. Short Title, Extent and Commencement: (1) This Act may be called the "Drug Act, 2035".  
(2) It shall extend throughout Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066..  
(3) Section (1) of this Act shall come into force immediately, and the other sections shall come into force in the area and from the date specified by the Government of Nepal by notification in the Nepal Gazette, from time to time. Amended by the First Amendment. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-  
(a) "Drug" means any substance used to affect the physical structure or process of a human being, animal or bird for the diagnosis, treatment or prevention of disease affecting human beings, animals or birds, for curing or alleviating disease, or for destroying insects that cause disease in human beings, animals or birds, and

includes any intermediate substance applied to such substance.

(b) "Production" means the process of making, preparing, processing, converting, packaging, repackaging or labeling a drug, or any or all processes adopted in relation thereto. Provided that the said term shall not include the process of dispensing, packaging or repackaging a drug prior to its consumption or sale.

(c) "Dispensing" means the act of preparing a mixture, placing it in a suitably labeled container, and giving the drug to a patient for consumption.

Explanation: For the purpose of this clause, "mixture" means the process of properly combining two or more specified quantities of substances to make a single drug. (d) "Label" means the name and description of the drug written on the container containing the drug. (e) "Medical Practitioner" means a medical practitioner registered under the Nepal Medical Council Act, 2020. (f) "Consumption" means the act of administering or using a drug to a patient by a medical practitioner or a person authorized by such medical practitioner, or the act of the patient himself taking or using such drug according to a prescription written by such medical practitioner, with the intention of improving the immediate physical and mental condition of the patient. (g) "Department" means the Department of Drug Administration constituted under Section 5. (h) "Director General" means the head of the Department. (i) "Inspector" means Amended by the First Amendment. a person appointed by the Department Amended by the Some Nepal Acts Amendment to Make Compatible with the Constitution of Nepal Act, 2075. or the Provincial Government for the purpose of Chapter-6. (j) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act. Chapter-2 Drug Advisory Council and Drug Consultative Committee 3. Drug Advisory Council: (1) A Drug Advisory Council shall be constituted as prescribed to advise the Government of Nepal on policy and administrative matters relating to drugs. (2) The functions, duties and powers of the Drug Advisory Council shall be as prescribed. 4. Drug Consultative Committee: (1) A Drug Consultative Committee shall be constituted as prescribed to advise the Department on technical matters relating to drug research, development and control. (2) The functions, duties and powers of the Drug Consultative Committee shall be as prescribed. Chapter-3 Drug Research and Control 5. Department of Drug Administration: (1) For the purpose of implementing the objectives of this Act, the Government of Nepal shall establish a Department of Drug Administration. (2) The Department established pursuant to sub-section (1) shall carry out all functions relating to drug control in accordance with this Act and the rules made under this Act. 6. Amended by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

Nepal Drug Research Laboratory and other Research Laboratories: (1) The Nepal Drug Research Laboratory established by the Government of Nepal Amended by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. shall be the principal organ of the Government of Nepal for scientific research, testing and analysis of drugs. Added by the Second Amendment.(1a) The procedure to be adopted by the Nepal Drug Research Laboratory established under sub-section (1) for scientific research, testing and analysis of drugs shall be as prescribed. (2) Any domestic or foreign person or institution may, with the approval of the Government of Nepal, establish other research laboratories or laboratories for scientific research and development of any drug. Chapter-4 Production, Sale-Distribution and Export-Import of Drugs 7. Requirement to Obtain Recommendation Letter for Establishing Drug Industry: Any person, before obtaining approval from the Government of Nepal under the prevailing law to establish an industry for the production of drugs, must obtain a recommendation letter from the Department as prescribed. 8. Requirement to Obtain Production License: (1) After establishing a drug industry upon obtaining the Department's recommendation under Section 7, before producing drugs, the person producing drugs must pay the prescribed fee and obtain a production license (Product License) from the Department Amended by the Second Amendment. as

prescribed. (2) Drug industries already established prior to the commencement of this Act must also pay the prescribed fee and obtain a production license under sub-section (1) Deleted by the Second Amendment.. Added by the Second Amendment.8a. Requirement to Register Drug: (1) Before selling or distributing each drug produced by any industry, the industry producing such drug must pay the prescribed fee and register such drug with the Department as prescribed and obtain a drug registration certificate. (2) A person wishing to import drugs must, before importing each drug of a company holding a license obtained by him, pay the prescribed fee and register with the Department as prescribed and obtain a registration certificate. 9. Requirement to Obtain Recommendation Letter for Export-Import of Drugs: A person wishing to export or import drugs must, before obtaining a license for export or import under the prevailing law, pay the prescribed fee Added by the First Amendment. and obtain a recommendation letter from the Department as prescribed. Added by the Third Amendment.9a.

Emergency Use of Drug or Vaccine: (1) Notwithstanding anything contained in this Act or prevailing law, for the prevention, control or eradication of an infectious disease spreading in the form of an epidemic, the Department shall register drugs or vaccines listed with the World Health Organization or registered by the drug regulatory authority of the concerned country or to which such regulatory authority has granted emergency use authorization, for emergency use in Nepal, on the recommendation of the Drug Consultative Committee. (2) For the import of a drug or vaccine registered under sub-section (1), the Department shall issue a recommendation letter under this Act for granting a license under the prevailing law. (3) While issuing a recommendation letter under sub-section (2), the Department may specify the quantity to be imported or prescribe necessary conditions regarding the use, sale or distribution of such drug or vaccine. (4) If it becomes necessary to prohibit the use of a drug or vaccine imported or being used, sold or distributed under this section due to its effects, or if the authority that listed, registered or permitted the use of such drug or vaccine under sub-section (1) prohibits it, the Department may cancel the registration of such drug or vaccine. 10. Requirement to Register Name for Sale-Distribution of Drugs: A person selling or distributing drugs must register his name and shop or firm with the Department as prescribed, pay the prescribed fee Added by the First Amendment. and obtain a certificate. Added by the Second Amendment.10a. Only Registered Drugs to be Sold or Distributed: A person who has obtained a certificate under Section 10 shall sell or distribute only drugs registered under Section 8a. Amended by the Some Nepal Acts Amendment Act, 2082.11.

Validity Period and Renewal of Production License, Recommendation Letter and Certificate: (1) A production license, recommendation letter and certificate shall be valid for the following periods from the date of issue:- (a) Production license under Section 8: five years, (b) Certificate under Section 8a: three years, (c) Recommendation letter under Section 9: three years, and (d) Certificate under Section 10: three years. (2) Before the expiry of the period under sub-section (1), the concerned person shall pay the prescribed fee and submit an application to the Department for renewal of each production license, recommendation letter and certificate. (3) A person who is unable to submit an application under sub-section (2) may, within thirty days from the date of expiry of the period under sub-section (1), submit an application to the Department for renewal of each production license, recommendation letter and certificate along with double the fee, stating the reason therefor. (4) Upon necessary inquiry into the application received under sub-section (2) or (3), the Department may renew the production license, recommendation letter and certificate for another period. (5) A production license, recommendation letter or certificate not renewed under this section shall automatically be cancelled. The Department shall inform the concerned person of such cancellation. (6) Notwithstanding anything contained in this section, if for the renewal of a production license, recommendation letter or certificate whose validity period expired before the commencement of this section, an application for renewal

is made within three months of such expiry, it shall not be deemed a bar to renewal under this section upon payment of an additional twenty-five percent fee. Chapter-5 Standard of Drugs 12. Drugs to be Safe for the Public, Free from Side Effects and of Quality: Every drug shall be safe for the public, free from side effects and of quality, maintaining the prescribed standard. 13. Prohibition on Production, Sale-Distribution, Export-Import, Storage or Consumption of Drugs Not of Prescribed Standard: Production, sale-distribution, export-import, storage or causing consumption of drugs that are not safe for the public, free from side effects and of quality shall not be permitted. 14.

Recall of Drugs Not Safe for the Public, Free from Side Effects and of Quality: (1) If a drug that has reached the market for sale-distribution is not safe for the public, free from side effects and of quality under Section 12, the person producing it or his representative shall recall such drug from the person selling or distributing it. (2) If the Director General becomes aware in any manner that a drug which is not safe for the public, free from side effects or of quality has reached the market for sale-distribution, he may cause such drug to be recalled by the person producing it from the person selling or distributing it. 15. Compensation to be Paid: If the death of any person occurs or health is harmed due to a drug produced in a manner that is not safe for the public, free from side effects and of quality, the person producing the drug shall be liable, and the person producing the drug shall pay compensation as prescribed to the rightful heir of the deceased in case of death, and to the person harmed in case of harm. Amended by the Second Amendment. 16. Guarantee Document to be Submitted to the Department: A certified copy of a document written guaranteeing that a drug registered under Section 8a is safe for the public, free from side effects and of quality shall be submitted to the Department by the person producing the drug himself, or his authorized representative, or the exporter or importer. 17. Drugs May be Classified into Groups: (1) Drugs may be classified into groups or sub-groups as prescribed. (2) Where classification into groups is made under sub-section (1), drugs classified as not to be sold or distributed without a medical practitioner's prescription shall not be sold or distributed by anyone without a medical practitioner's prescription.

When selling or distributing such drugs according to a medical practitioner's prescription, the pharmacist Added by the Second Amendment. or pharmacy assistant or the dealer himself shall sell or distribute, and if anyone other than the pharmacist Added by the Second Amendment. or pharmacy assistant or dealer sells or distributes such drug, the presence of the pharmacist Added by the Second Amendment. or pharmacy assistant or dealer shall be mandatory.

(3) Where classification into groups is made under sub-section (2), drugs classified as to be sold or distributed only by the pharmacist Added by the Second Amendment. or pharmacy assistant or dealer, or only in the presence of any one of them, may be sold or distributed by him or only in his presence.

(4) Drugs other than those classified under sub-sections (2) and (3) may be sold by any seller in reasonable quantities based on experience. Explanation: "Pharmacist" means a person who has obtained a Bachelor's degree in Pharmacy or a Master's degree in Pharmaceutics, or has acquired experience related to drugs and is recognized by the Drug Consultative Committee Added by the Second Amendment.. "Pharmacy Assistant" means a person who has passed a certificate level or equivalent in Pharmacy. "Dealer" means a person who has obtained qualifications as prescribed by the Drug Consultative Committee and is recognized by that Committee. 18. Prohibition on Improper Use or Misuse of Drugs: (1) No person shall improperly use or misuse a drug.

(2) If any drug is sold or distributed contrary to sub-sections (2) and (3) of Section 17, it shall be deemed to be an improper use or misuse of such drug. 19. Prohibition on False or Misleading Publicity of Drugs: (1) No

person shall engage in false or misleading publicity or advertisement regarding the use, utility or effectiveness of a drug.

(2) A person wishing to publicize or advertise any drug shall pay the prescribed fee and obtain a permission letter from the Department as prescribed. Chapter-6

Inspection and Investigation

20.

Inspector May Inspect and Investigate: (1) An Inspector may inspect, investigate and search any place where production, Added by the Second Amendment. storage, sale-distribution or transportation of any drug is being carried out. (2) While inspecting, investigating or searching under sub-section (1), if there is suspicion that any drug is not safe for the public, free from side effects or of quality, or if there is reasonable cause to believe that any act or action contrary to this Act or the rules made under this Act is being carried out, the Inspector may seal the drug found, entrust it to the owner of such drug, take a receipt from such owner, Amended by the Second Amendment. keep such drug under seizure, and order immediate cessation of such act or action. (3) The Inspector shall submit a report of the inspection, investigation or search conducted by him under this section, or of the seizure of drug, or of sending a sample of drug for testing, to the Director General within three days. (4) If a drug seized under sub-section (2) is determined by analysis or testing of a research laboratory, laboratory, hospital, dispensary or clinic to be not safe for the public, free from side effects or of quality, such drug may be confiscated or destroyed by order of the Director General, and while giving such order, the recommendation letter, production license, certificate or permission letter granted under this Act may also be cancelled. Added by the Second Amendment.(4a) If, upon analysis or testing under sub-section (4), a drug is found to be safe for the public, free from side effects and of quality, but the person producing, selling, distributing, storing, transporting or exporting-importing such drug is found to have committed any act contrary to this Act or the rules made under this Act, the Director General may confiscate such drug, impose controls on the production, sale-distribution, storage, transportation or export-import of such drug, or suspend the license or certificate or recommendation letter of such person for up to six months. (5) The cost incurred in destroying a drug under sub-section (4) shall be borne by the person producing it. If a drug seized from a selling person is to be destroyed, the cost price of such drug taken from the selling person shall also be recovered from the producing person and paid to the selling person. Added by the Second Amendment.(6) For the purpose of supporting the inspection and investigation work under this section, the Department may, as necessary, deploy any expert in the relevant subject. Amended by the Some Nepal Acts Amendment to Make Compatible with the Constitution of Nepal Act, 2075.20a.

Inspector Deployed by Provincial Government May Inspect and Investigate: (1) An Inspector deployed by the Provincial Government may inspect, investigate and search any place where production, quality, storage, sale-distribution or transportation of any drug is being carried out. (2) While inspecting under sub-section (1), if the Inspector finds that a drug is not safe for the public, free from side effects and of quality, or that sale-distribution is being done contrary to this Act, he shall submit a report to the Director General. (3) Upon receipt of a report under sub-section (2), if it appears necessary to file a case against anyone under this Act, the Director General shall send a letter to the Officer having authority to investigate the case. Amended by the Second Amendment.21. Appeal Against Order of Director General: (1) A person aggrieved by an order given by the Director General to cancel or suspend a production license, certificate or recommendation letter under sub-sections (4) and (4a) of Section 20 may appeal to the Secretary of the Ministry of Health within thirty-five days from the date of receipt of notice of such order. (2) A decision on an appeal filed under sub-section (1) shall be made within three months. 22. Procedure to be Adopted While Inspecting or

Investigating: While inspecting, investigating and searching under this Act, the manner and procedure as prescribed shall be adopted. Deleted by the Second Amendment.23. Qualifications for Inspector and Expert: (1) The following qualifications shall be required for an Inspector:- (a) Amended by the Second Amendment. A Bachelor's degree in Pharmacy, or (b) Deleted by the Second Amendment (c) Deleted by the Second Amendment (d) Amended by the Second Amendment. Passed a certificate level or equivalent in Pharmacy and having at least five years of experience in pharmacy-related work. (2) The following qualifications shall be required for an Expert:- (a) Amended by the Second Amendment. A Bachelor's degree in Pharmacy, or Added by the Second Amendment.(a1) A Master's degree in Chemistry, or (b) A Bachelor's degree in Chemistry and Amended by the Second Amendment. having at least three years of experience in drug analysis work. 24.

Sending Sample of Drug for Testing: A sample of a drug seized or taken into custody in the course of inspection or investigation shall be sent by the Inspector to a research laboratory, laboratory, hospital, dispensary or clinic for testing or analysis as prescribed, and an Expert shall also conduct necessary testing or analysis and send a report thereof to the Director General as prescribed. Chapter-7 Miscellaneous Amended by the Second Amendment.25. Government of Nepal May Prohibit Production, Sale-Distribution, Storage, Transportation, Export, Import or Consumption of Drugs: If it appears necessary to prohibit the production, sale-distribution, storage, transportation, export, import or consumption of any drug, the Government of Nepal may, by notification in the Nepal Gazette, order the prohibition of the production, sale-distribution, storage, transportation, export, import or consumption of such drug. 26. May Fix Price of Drugs: The Department may, if it deems necessary, with the approval of the Government of Nepal, fix the price of any drug. Added by the Second Amendment. If the Department has so fixed the price of any drug, a notice thereof shall be published in the Nepal Gazette. Amended by the Second Amendment.27. Provision Relating to Giving Prescriptions: The provision relating to giving prescriptions of drugs classified under Section 17 by a prescribed medical practitioner, integrated medical practitioner or health worker shall be as prescribed. 28. Prohibition on Production, Sale-Distribution, Dispensing or Storage of Drugs without Arranging Required Added by the Second Amendment.Manpower and Resources: For the production, sale-distribution, Added by the First Amendment. dispensing, storage or export-import of any drug, such drug shall not be produced, sold-distributed, Added by the First Amendment. dispensed, stored or exported-imported without arranging the required Added by the Second Amendment. manpower as prescribed and other necessary resources in sufficient quantity related to such work. 29. Prohibition on Adulteration of Drugs and Sale of Adulterated Drugs: (1) No person shall adulterate any drug in such a way that its effect becomes nullified, reduced, altered or harmful, or knowingly sell, keep for sale, or give to anyone for treatment any drug that has been so adulterated. (2) No person shall sell any other thing representing it as a drug. 30. Prohibition on Sale-Distribution of Expired Drugs: No person shall sell or distribute an expired drug. Added by the First Amendment.31.

Permission Letter Required for Clinical Trial: (1) If any person wishes to conduct a clinical trial of any new drug or vaccine, he must obtain a permission letter from the Department for such work as prescribed. Explanation: For the purpose of this section, "Clinical Trial" means the act of testing, by administering a drug or applying a vaccine to a patient or other person voluntarily in a hospital or other similar medical institution as specified in the permission letter, with the objective of ascertaining whether a new drug or vaccine is suitable for use or not. (2) Notwithstanding anything contained in sub-section (1), if an institution or company developing a vaccine that is in clinical trial under the permission of a government of a foreign country or the relevant regulatory authority wishes to conduct a clinical trial of such vaccine in Nepal, the Government of Nepal may grant permission for that purpose. (3) The procedure for granting permission under sub-section

(2) and other procedures relating to conducting clinical trials shall be as determined by the Government of Nepal. 32. System of Drug and Other Matters to be Disclosed While Producing Drug: (1) While producing a drug, it shall be mentioned on the label which system of medicine the drug belongs to among Allopathic, Ayurvedic, Homeopathic and Unani systems. (2) While producing a drug, possible adverse effects from its consumption shall be mentioned as prescribed. 33. Narcotic and Poisonous Drugs to be Kept Safely: (1) Prescribed narcotic and poisonous drugs shall be clearly labeled and kept safely as prescribed. (2) A person selling or distributing narcotic and poisonous drugs under sub-section (1) shall maintain a record of the narcotic and poisonous drugs sold or distributed by him in the prescribed format, and shall keep the prescription for such narcotic and poisonous drug written by a medical practitioner attached with such record. 34. Penalty: (1) A person who acts contrary to Chapter-4 of this Act or contrary to an order under Section 25 shall be liable to imprisonment for up to three years or a fine of up to Amended by the Second Amendment. twenty-five thousand rupees or both.

Amended by the Some Nepal Acts Amendment to Make Compatible with the Constitution of Nepal Act, 2075.(2) If anyone improperly uses or misuses a drug contrary to Section 18, or adulterates a drug contrary to Section 29, or sells an adulterated drug, or sells any other thing representing it as a drug, or sells or distributes an expired drug contrary to Section 30, or does any act contrary to Section 33, he shall be punished as follows:- (a) If death has occurred because of consuming such drug, up to life imprisonment according to the gravity of the offense, (b) If a life-threatening danger has been caused or is likely to be caused because of consuming such drug, as for an attempt to commit murder, (c) If, because of consuming such drug, any organ of the body is mutilated or its power is diminished or lost, imprisonment for up to ten years and a fine of up to one hundred thousand rupees, (d) In circumstances other than those mentioned in clauses (a), (b) or (c), imprisonment for up to five years and a fine of up to fifty thousand rupees. (3) A person who does any act contrary to this Act or the rules made under this Act, other than those mentioned in sub-sections (1) and (2), shall be liable to imprisonment for up to one year or a fine of up to Amended by the Second Amendment. five thousand rupees or both. Added by the Some Nepal Laws Amendment, Consolidation, Adjustment and Repeal Act, 2074.(4) If the death of any person, or mutilation of a body part, or other harm, loss or damage is caused as a result of an offense under this Act, the offender shall pay reasonable compensation to the concerned victim, and in case of his death, to his rightful heir. 35. Maximum Fine and Imprisonment in Lieu of Fine: (1) For the purpose of imposing a fine under sub-section (2) of Section 34, while imposing such fine, the fine shall be up to the amount of the loss or up to Amended by the Second Amendment. one hundred thousand rupees, whichever is higher.

However, an excessive fine that is disproportionate to the offender or the circumstances of the offense shall not be prescribed.

(2) While prescribing the punishment of a fine under sub-section (1), the officer hearing the case shall also specify in his decision the term of imprisonment in default of payment of the fine.

(3) If the offense for which a fine is imposed is also punishable with imprisonment, the imprisonment in default of payment of the fine under sub-section (2) shall not be prescribed for a term exceeding five years. In case of life imprisonment, no additional imprisonment shall be imposed in lieu of fine. 36. Right to Register Patent of Drug: The right relating to registering a patent of a drug shall be as per the prevailing law. 37. Delegation of Powers: The Government of Nepal may delegate all or any of the powers vested in the Director General under this Act to any officer. 38. Government Side: Cases under this Act shall be on the government side. 39. Investigation and Filing of Case: (1) Investigation of cases relating to offenses punishable under this Act shall be conducted by Amended by the Some Nepal Acts Amendment to Make Compatible with the

Constitution of Nepal Act, 2075. the Inspector deployed by the Department, and after completion of such investigation, the case shall be filed before the officer having authority to hear the case. Added by the Second Amendment.(1a) While investigating a case under sub-section (1), the Inspector shall have the power to arrest persons involved in the offense, search any place related to the offense, take into custody documents or other goods related to the offense, and prepare a site inspection report. Added by the Second Amendment.(1b) While investigating under sub-sections (1) and (1a), the Inspector may record the statement of the accused, and if there is reasonable basis, release him on bail, or keep him in custody for a maximum of twenty-five days with prior approval of the officer having authority to hear the case. Added by the Second Amendment.(1c) While performing any act under sub-sections (1a) and (1b), the Inspector may seek the assistance of police personnel as necessary. Upon such request for assistance, police personnel shall provide the necessary assistance.

(2) While investigating and filing a case under sub-section (1), the Inspector may seek the opinion of a government attorney. After the case is filed, the conduct of the case and appeal shall be by the government attorney. 40. Power to Make Rules: The Government of Nepal may make rules for the purpose of implementing the objectives of this Act.